



MUMIAS SUGAR COMPANY LIMITED

AUDITED FINANCIAL RESULTS

FOR THE YEAR ENDED 30 JUNE 2013



The Directors wish to announce the audited financial results for the year ended 30 June 2013.

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE**

	2013 Shs'000	2012 Shs'000
Turnover	<u>14,936,100</u>	<u>18,702,674</u>
Revenue	11,957,823	15,542,686
Fair value (loss) gain on biological assets	(13,781)	5,678
Operating income	11,944,042	15,548,364
Cost of sales	(10,395,794)	(11,060,657)
Gross profit	1,548,248	4,487,707
Other operating income	237,286	133,031
Marketing and distribution costs	(870,920)	(733,345)
Administrative expenses	(1,939,560)	(1,567,202)
Other operating expenses	(880,401)	(825,547)
Finance income	394,336	411,023
Finance costs	(724,988)	(141,638)
(Loss)/Profit before taxation	(2,235,999)	1,764,029
Taxation credit	566,283	248,650
(Loss) Profit for the year	(1,669,716)	2,012,679
OTHER COMPREHENSIVE INCOME	-	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	<u>(1,669,716)</u>	<u>2,012,679</u>
	Shs	Shs
(Loss)/Earnings per share - basic & diluted	<u>(1.09)</u>	<u>1.32</u>



**STATEMENT OF FINANCIAL POSITION
AT 30 JUNE 2013**

	2013 Shs'000	2012 Shs'000
ASSETS		
Non current assets		
Property, plant and equipment	19,615,082	19,810,560
Intangible assets	315,676	206,603
Non current receivables	157,695	150,090
	20,088,453	20,167,253
Current assets		
Inventories	2,463,064	1,676,088
Biological assets	219,378	191,093
Trade and other receivables	3,765,866	4,584,048
Taxation recoverable	183,102	200,214
Collateral deposit	301,925	294,817
Short term deposits	-	51,797
Quoted investments – At fair value through profit or loss	44,106	35,240
Cash and bank balances	70,923	138,063
	7,048,364	7,171,360
Non current assets held for sale	11,576	61,500
	7,059,940	7,232,860
Total assets	27,148,393	27,400,113
EQUITY AND LIABILITIES		
Equity		
Share capital	3,060,000	3,060,000
Revaluation surplus	3,173,432	3,350,880
Retained earnings	7,055,538	9,312,806
Shareholders' equity	13,288,970	15,723,686
Non current liabilities		
Deferred income taxation liability	2,443,472	3,027,494
Provision for service gratuity	10,464	2,747
Deferred grant income	15,379	-
Long term borrowings	2,981,335	2,925,531
	5,450,650	5,955,772
Current liabilities		
Borrowings	3,058,448	2,463,448
Trade and other payables	4,844,672	2,928,017
Provision for service gratuity	5,652	1,201
Provision for staff leave pay	43,626	28,552
Unclaimed dividends	456,375	299,437
	8,408,773	5,720,655
Total equity and liabilities	27,148,393	27,400,113



**STATEMENT OF CASH FLOWS
FOR YEAR ENDED 30 JUNE 2013**

	2013 Shs'000	2012 Shs'000
Balance at 1 July	<u>(1,280,189)</u>	<u>656,435</u>
Net cash generated from operating activities	932,444	2,114,552
Net cash used in investing activities	(1,234,054)	(4,393,919)
Net cash generated from/(used in) financing activities	641,581	342,743
Increase/(decrease) in cash and cash equivalents	<u>(339,908)</u>	<u>(1,936,642)</u>
Balance at 30 June	<u><u>(940,281)</u></u>	<u><u>(1,280,189)</u></u>



**STATEMENT OF CHANGES IN EQUITY
FOR YEAR ENDED 30 JUNE 2013**

	Share Capital Shs '000	Revaluation Surplus Shs '000	Retained earnings Shs '000	Total Shs '000
At 1 July 2011	3,060,000	3,552,456	7,863,551	14,476,007
Total comprehensive income for the year	-	-	2,012,679	2,012,679
Final dividend declared - 2010	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(70,938)	70,938	-
Deferred taxation transferred on disposal of equipment	-	21,281	(21,281)	-
Transfer of excess depreciation	-	(217,028)	217,028	-
Deferred taxation on excess depreciation	-	65,109	(65,109)	-
At 30 June 2012	<u>3,060,000</u>	<u>3,350,880</u>	<u>9,312,806</u>	<u>15,723,686</u>
At 1 July 2012	3,060,000	3,350,880	9,312,806	15,723,686
Total comprehensive loss for the year	-	-	(1,669,716)	(1,669,716)
Final dividend declared - 2012	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(30,653)	30,653	-
Deferred taxation transferred on disposal of equipment	-	9,196	(9,196)	-
Transfer of excess depreciation	-	(222,845)	222,845	-
Deferred taxation on excess depreciation	-	66,854	(66,854)	-
At 30 June 2013	<u>3,060,000</u>	<u>3,173,432</u>	<u>7,055,538</u>	<u>13,288,970</u>



RESULTS

The financial results for the year ended 30 June 2013 are below expectations. The company made a Loss after tax (LAT) of Shs 1,670 million in comparison to the last year's profit after tax of Shs 2,012 million.

OPERATIONS

The company processed 1,719,920 tonnes (2012 – 1,917,340) of sugar cane, which is 10.3 % lower than the last financial year. This was due to a decline in cane availability this year.

In the period, the company produced 147,320 (2012 – 172,614) tonnes of sugar, which is 15% below the level of production in the last financial year. The factory efficiency was lower due to lower capacity utilisation and hence less sugar was recovered thus compounding the problem of declining cane supply in comparison to the last financial year.

REVENUE

Gross turnover is Shs 14,936 million (2012 - Shs 18,703 million) which is 20% below the level achieved last year. The global and regional sugar supply has increased resulting in much lower selling prices which further dipped turnover when coupled with low production. Cheap sugar imports also served to depress prices.

The sale of power from co-generation plant generated a net revenue of Shs 305 million (2012 – Shs 435 million). This is a decrease of 29.9%. This is attributed to low availability of cane from which the bagasse used as fuel is generated from. This was also caused by the increased demand for bagasse by the ethanol plant which was in operation during the year.

The company sold 4 million litres of ethanol and earned Shs 331 million in revenue (2012- Shs 1.5 million). The ethanol plant has now stabilised and full commercial operations are now in progress.

The company sold 951,000 litres of water and earned Shs 28 million in revenue (2012- Shs -). Full commercial operations have not yet commenced.

CONTRIBUTION TO GOVERNMENT REVENUE

The company is one of the biggest contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL), Excise duty and other taxes. In the financial year the company paid Shs 3.0 billion (2012 - Shs 3.2 billion) in VAT, SDL, Excise duty and other taxes.

PROFIT AFTER TAX AND EARNINGS PER SHARE (EPS)

Loss After Tax (LAT) of Shs 1,670 million [2012- Shs 2,013 million (PAT)] was realized which is 183% lower than the last financial year. Loss Per Share (EPS) is Shs (1.09) (2012 - Shs 1.31) which is Shs 2.40 per share lower than last year also representing a 183% decrease.

DIVIDENDS

The Directors do not propose a dividend. .



STATUTORY AUDIT

The accounts were audited by Deloitte & Touche and received an unqualified opinion.

OUTLOOK

Sugar

In order to enhance cane deliveries, the company is setting up additional cane buying centres in its cane zone. This will facilitate easier sugar cane collection from the fields, thereby minimizing in-transit losses and will also reduce the propensity of poaching of cane. The company has also introduced early maturing varieties of cane, a new fertiliser regime and remodelling of farmer service delivery channels in order to increase the area under cane and cane yields.

The company is also increasing the quantities of its branded sugar in order to increase its market share.

Ethanol distillery

Ethanol prices are expected to remain stable. There will be an increase in volume as the ethanol plant is now operating at increased capacity. The company supplies the ethanol products in the local and regional markets and expects to generate a significant increase in revenue in the coming year.

Cogeneration

The cogeneration plant performed below expectation due to challenges of availing constant flow of fuel. This situation is expected to significantly improve in the coming year.

Other derived opportunities

The company has taken steps and measures to enable it earn carbon credits from its operations by registering some of its operations as Clean Development Mechanism (CDM) projects. The company has already registered its cogeneration as a CDM. This will earn the company revenue through carbon credits and also safeguard the environment by embracing environmental friendly and sustainable operations.

Future outlook

The Board of Directors is confident that the company will soon return to profitability, and will continually review the various business strategies in place to ensure sustainability

BY ORDER OF THE BOARD

E K Otieno
Company Secretary
2 September 2013

